

(8 pages)

MAY 2023

P/ID 77928/RMB1D

Time : Three hours

Maximum : 80 marks

PART A — (10 × 2 = 20 marks)

Answer any TEN questions.

1. Define Management Accounting.
2. What do you mean by revenue realisation concept?
3. Give any two uses of profitability ratios
4. Give the objectives of adjusted profit and loss account.
5. What do you mean by production budget?
6. State the use of material variance.
7. What do you mean by External reports?
8. Give the importance of marginal costing.
9. What do you mean by historical cost?
10. State the necessity of LF No. in journal.
11. Define Business entity concept
12. Give any two uses of break even point.

PART B — (5 × 6 = 30 marks)

Answer any FIVE questions.

13. Differentiate between financial and cost accounting.
14. Are there any limitations on the interpretation of financial statements?
15. Discuss the importance of proper system of reports.
16. From the following balance sheet compute the following ratio:

Liquid ratio, Proprietary ratio, stock to working capital ratio, capital gearing ratio.

Balance sheet as on 31st December

Liabilities	Rs.	Assets	Rs.
Equity share capital	2,00,000	Plant and machinery	2,00,000
10% preference share capital	1,00,000	Land and buildings	2,00,000
20% Debenture	1,00,000	Stock	1,50,000
Reserves and Surplus	1,00,000	Debtors	50,000
Loan (Long Term)	50,000	Cash	1,00,000

Liabilities	Rs.	Assets	Rs.
Creditors	1,00,000		
Bank overdraft	50,000		
Total	<u>7,00,000</u>	Total	<u>7,00,000</u>

17. From the following information relating to S Ltd., you are required to find out.

(a) Contribution

(b) BEP in units

(c) Margin of Safety

(d) Profit

Total fixed cost Rs.4,500

Total variable costs Rs.7,500

Total Sales Rs.15,000

Units sold 5,000

(e) Also calculate the volume of sales to earn a profit of Rs.6,000.

18. Standard Mix for production of “Y”

Material A: 60 tonnes @ Rs.5 per tonne

Material B: 40 tonnes @ Rs.10 per tonne

Actual mixture being:

Material A: 80 tonnes @ Rs.4 per tonne

Material B: 70 tonnes @ Rs.8 per tonne

Calculate

(a) Material price variance

(b) Material sub-usage variance

(c) Material Mix variance.

19. From the following information prepare a flexible budget for 60% and 90%.

Particulars	At 75%
Indirect labour	12,000
Stores	4,000
Power (30% fixed 70% variable)	20,000
Salaries	10,000
Insurance	3,000

PART C — (3 × 10 = 30 marks)

Answer any THREE questions.

20. From the following particulars prepare Trading, Profit & Loss Account for the year ended March 2021 and Balance sheet as on 31 March 2021.

Particulars	Amount
Capital	1,30,000
Drawings	1,000
Land and Buildings	89,600
Cash	1320
Debtors	15,380
Sales	1,06,040
Opening stock	4,790
Wages	27,480
Carriage Inwards	12,310
Bills Receivables	4,300
Creditors	42,850
Machinery	76,500
Furniture	3,700
Salaries	23,740
Sales return	1,340
Carriage Outward	400

Particulars	Amount
Rent and Taxes	3,670
Insurance premium	1,000
Stationery	1,300
Travelling Allowances	7,000
Loan from Kumar	45,000
Purchases	36,590
Premises	12,000
Discount allowed	650
Advertisement	570
Postage	680
Purchase returns	1,430

Adjustments:

- (a) Depreciation to be provided on the following assets:

Machinery @10%, Furniture @20% Land and Building @5%.

- (b) Taxes unpaid Rs.450.
(c) Wages over paid Rs.4,350.
(d) Closing stock Rs.7,530.

21. The balance sheets of a firm as on 31st December 2020 and 2021 are given below:

Liabilities	2020	2021	Assets	2020	2021
Share capital	1,00,000	1,60,000	Fixed assets at cost	1,52,000	2,00,000
Retained earnings	70,250	85,300	Inventory	93,400	89,200
Accumulated Depreciation	60,000	40,000	Debtors	30,800	21,100
12% debentures	50,000	-	Expenses prepaid	3,950	3,000
Sundry creditors	28,000	48,000	Bank	28,100	20,000
	<u>3,08,250</u>	<u>3,33,300</u>		<u>3,08,250</u>	<u>3,33,300</u>

Additional Information for 2021 are also given:

- (a) Net profit Rs.27,050
- (b) Depreciation charged Rs.10,000
- (c) Cash dividend declared during the period Rs. 12,000
- (d) An addition to the building was made during the year at a cost of Rs.78,000;and fully depreciated equipment costing Rs.30,000 was discarded as no salvage being realised.

Prepare a cash flow statement.

22. Prepare a cash budget for three months commencing 1st June when the bank balance was Rs.1,00,000.

Month	Sales Rs.	Purchase Rs.	Wages Rs.	Factory Expenses Rs.	Selling Expenses Rs.
April	80,000	41,000	5,600	3,900	10,000
May	76,500	40,500	5,400	4,200	14,000
June	78,500	38,500	5,400	5,100	15,000
July	90,000	37,000	4,800	5,100	17,000
August	95,000	35,000	4,700	6,000	13,000

A sales commission of 5 percent on sales, due two months after sales, is payable in addition to selling expenses. Plat valued at Rs.65,000 will be purchased and paid for in August, and the dividend for the last financial year of Rs.15,000 will be paid in July. There is a two month credit period allowed to customers and received from suppliers.

23. Discuss the methods of Financial statement analysis.
24. Explain the importance of Management accounting as a tool of management decision making.